

10. Supplier Power

Number of suppliers in the market	Many farmers but often unionised
Availability of regular supply	Moderate for established firms
Uniqueness of services	No substitute
Ability to substitute	No substitute
Switching Costs	High cost and effort to set up new procurement network
Dependency of industry on them	Moderate dependency
Can the industry threaten to vertically integrate?	No
Importance of volume to supplier's profitability	No
Payment power with the supplier	Cash or Credit upto 14 days

Supplier power is present if the farmers are unionised. In reality, farmers are only unionised at the community level, thus resulting in moderate supplier power.

11. Buyer Power

Number of buyers/customers	Mass-market product
Size of buyers/customers	Small and scattered orders
How informed are the buyers?	Moderately informed
Price sensitivity	Inelastic
Demand-Supply Scenario	Balance
Can the buyers threaten vertical integration?	No
Payment power with buyers	Cash sales; some credit to distributors

There is no buyer power. There is very low buyer power with intermediaries. This cannot affect profitability though.